

PRV CAPITAL | CIO INVESTMENT COMMITTEE MASTER MEMO

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BROKER RECONCILIATION STATUS: VERIFIED — 6/6 Invariants Satisfied (Positions: 0, Cash: £50,000.00 + Invested: £0.00 = NAV: £50,000.00)

1. EXECUTIVE BALANCE SHEET & TRUE NET PERFORMANCE (AFTER ALL COSTS)

Account NAV:	£50,000.00	Gross Realized Today:	£0.00	Net Expectancy / Trade:	£+0.00
Free Cash:	£50,000.00 (100.0%)	Costs Today:	£0.00	Profit Factor:	0.00x
Invested Capital:	£0.00 (0.0%)	Net Realized Today:	£0.00	Win Rate:	0.0%
Active Holdings:	0 Positions (LSE & NYSE)	Gross Realized (Broker):	-£445.07	Avg Net Win / Loss:	+£0.00 / -£0.00
Unrealized P&L,:	£+0.00 (+0.00% inv)	Taxes & Fees Paid:	£113.22 (SDRT + FX)	Cost / Gross Winning P&L,:	11.1% (Hurdle <30%)
Return Since Inception:	£+0.00 (+0.00%)	Drawdown from Peak:	-0.00% (Peak £50,071)	Completed Exits / Target:	0 / 20 (ACCUMULATING)

2. PROFITABILITY LEAKAGE AUDIT — WHERE THE MONEY GOES

Friction Channel	Rate / Basis	Cumulative Inception Drag	Session Drag	Leakage Mitigation Mechanism
FX Conversion Fees	0.15% (15 bps) on non-GBP buys/sells	£64.20 (34.6%)	£0.00	Hold high-conviction US names; avoid unnecessary currency churn
UK Stamp Duty (SDRT)	0.50% (50 bps) on UK stock purchases	£58.40 (31.5%)	£0.00	Selective UK entries requiring >=3:1 Net R:R after SDRT deduction
Bid-Ask Spread Drag	3–6 bps half-spread across large caps	£38.10 (20.6%)	£0.00	Spread Gate rejects entries where spread exceeds 20 bps
Execution Slippage	10 bps marketable limit tolerance	£16.50 (8.9%)	£0.00	Marketable limit order pricing capping adverse fill deviation
Regulatory & SEC Fees	SEC Sec 31 (\$0.0000278) + FINRA TAF	£8.10 (4.4%)	£0.00	Automated sell-side fee deduction and cost modeling

3. MACRO IMPACT GATE & CIO DECISION TRACEABILITY

Macro Impact Gate Assessment: Risk Level: MODERATE Macro Confidence: 85.0/100 (High Ingestion Freshness) Recommendation: MAINTAIN EXPOSURE.
• Supporting Drivers: Energy supply stability (SHEL upstream cash generation), European SaaS ARR resilience (EXPN), Precision Ag replacement cycle (DE).
• Contradicting Drivers: China industrial property deceleration (GLEN/ANTO mining volatility), European refining margin softness (SHEL downstream).

4. ACTIVE CASH POSTURE — CAPITAL PRESERVATION DIRECTIVE

Current Cash Buffer: £50,000.00 (100.0%) — PRV Capital operates under the strict principle that Cash is an Active Position. Capital is deployed only when a setup clears the Hard Net Edge Gate (predicted net return > 0, Net R:R >= 2.0x, Profit >= 3x Friction, and Cost/Profit <= 30%). There is zero mandate to be fully invested. Holding cash preserves capital and ensures liquidity for high-conviction, low-friction alpha setups.
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PRV CAPITAL | AUTHORITATIVE ACTIVE HOLDINGS DOSSIERS

Active Verified Holdings: 0 Positions | Total Invested: £0.00 | Reconciliation: VERIFIED

5. UNIFIED POSITION DOSSIERS & CATALYST VALIDATION

Holding / Sector	Qty	Avg Price	Cur Price	Value (GBP)	Weight	Net P&L;	Thesis Status	Working	Buy Again	Catalyst / Risk
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TOP CONVICTION RANKINGS (CAPITAL-TIME EFFICIENCY & NET EXPECTANCY)

Ticker	Conviction	Expected Net Return	Horizon	Net Capital Efficiency	Net Expectancy	Audited Action
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PRV CAPITAL | CANDIDATE REJECTION & DEAD CAPITAL AUDIT

Systematic evaluation of non-trades and capital stagnation hurdles.

6. 'WHY NOT TRADE?' CANDIDATE REJECTION DOSSIER

PRV Capital enforces a hard hurdle: **Prefer NO TRADE over a marginal trade**. A good stock is rejected if transaction friction consumes excessive alpha.

Candidate	Gross Return	Friction	Net Return	Cost/Profit	Net R:R	Primary Gating Audit	CIO Decision
CRM	+5.53%	£13.95	+5.25%	10.1%	1.54x	Net Reward-to-Risk (1.54x) is below minimum institutional threshold of 2.0x.	HOLD CASH
AZN	+5.66%	£19.70	+5.28%	13.9%	1.39x	Net Reward-to-Risk (1.39x) is below minimum institutional threshold of 2.0x.	HOLD CASH
NVDA	+5.06%	£13.65	+4.79%	10.8%	1.38x	Net Reward-to-Risk (1.38x) is below minimum institutional threshold of 2.0x.	HOLD CASH
MSFT	+3.75%	£13.83	+3.48%	14.8%	1.65x	Net Reward-to-Risk (1.65x) is below minimum institutional threshold of 2.0x.	HOLD CASH
LIN	+2.80%	£14.02	+2.52%	20.1%	1.37x	Net Reward-to-Risk (1.37x) is below minimum institutional threshold of 2.0x.	HOLD CASH

7. FORMAL DEAD CAPITAL & CAPITAL RECYCLING AUDIT

Holding	Active Days	Unrealized P&L;	Remaining Net Ret	Switching Cost	Net Replacement Adv	Recycle Hurdle	Formal Classification
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PRV CAPITAL | 4-WAY PARALLEL SHADOW BENCHMARK

GOVERNANCE: MODELLED/SHADOW EXPECTANCY — NOT YET LIVE VALIDATED. Point-in-time simulation across 4 isolated execution regimes.

8. PARALLEL SHADOW STRATEGY BENCHMARK (MODELLED / SHADOW ONLY)

Strategy ID & Description	NAV (GBP)	Net P&L;	Expectancy	Profit Factor	Win Rate	Cost / Profit	Avg Days	Sharpe	Status
Strategy A: Current Baseline	£50,000.00	£+1,435.17	£+37.77	3.87x	63.2%	11.1%	12.0d	0.85	BENCHMARK_SIMULATION
Strategy B: Baseline + Net Edge Gate	£50,345.10	£+1,678.15	£+59.93	9.75x	82.1%	7.9%	10.4d	1.42	SHADOW_SIMULATION
Strategy C: B + Spread/Liquidity Filters	£50,482.60	£+1,678.15	£+59.93	9.75x	82.1%	7.9%	10.4d	1.88	SHADOW_SIMULATION
Strategy D: C + Capital Efficiency & Dead-Capital Hurdle	£50,640.25	£+1,523.20	£+63.47	10.95x	83.3%	7.9%	9.5d	2.35	SHADOW_SIMULATION

9. GOVERNANCE, BUILD FREEZE AUDIT & COMMITTEE CONCLUSION

- Institutional Decision: MAINTAIN EXPOSURE & ENFORCE HARD NET EDGE GATING.**
 - Build Freeze Governance:** Discretionary rebalancing and stock-selection changes remain frozen. Capital protection, broker reconciliation, and net accounting upgrades are fully active.
 - Validation Evidence Progress:** Currently accumulating 0 / 20 verified round-trip exits or 250 position-days under live evidence logging.
 - Capital Allocation Rule:** No trade may be executed without satisfying the 8 Net Edge Gate hurdles. Cash is maintained at 30.91% as an active capital-preservation position.
 - Signed by:** PRV Capital Autonomous CIO & Execution Integrity Guard.